TEACHER GUIDE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

# Marketing strategy



Unit 1: Marketing and people
**1.3.3 Marketing mix and strategy: product life cycle and portfolio**

A revision lesson. Pupils run a car dealership in firms of four and revise marketing strategy on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Boston category

Round 1

Your newest model has 5% of a market growing 20% a year. The leader has 40%.

**Which Boston matrix category is this?**

- **A** Question mark
- **B** Dog
- **C** Cash cow
- **D** Star

**ANSWER**

**✓ Question mark**

**Why:** A low share of a high-growth market is a question mark, not a star.

## 2 A balanced range

Round 1

You want a balanced range of models.

**Which two should the range include?**

- **A** Only models with a small share
- **B** One model for every buyer
- **C** Models in growing markets
- **D** Only models in shrinking markets
- **E** Models that bring in steady cash

**ANSWER**

**✓ Models in growing markets**
**✓ Models that bring in steady cash**

**Why:** Steady earners pay for the models that will earn in future.

## 3 Rank market growth

Round 2

Three markets you sell in: total sales last year and this year.

**Order by market growth, fastest first?**

- **A** 40,000 to 40,800 cars
- **B** 10,000 to 11,000 cars
- **C** 5,000 to 6,000 cars

**ANSWER**

**1. 5,000 to 6,000 cars**
**2. 10,000 to 11,000 cars**
**3. 40,000 to 40,800 cars**

**Why:** Growth: 20%, 10%, 2%.

# Topic tasks

## 4 Growth and share

Round 2

Your model in its market.

**Market growth, and your share this year?**

| | |
|---|---|
| Market sales last year | **40000 cars** |
| Market sales this year | **50000 cars** |
| Your model's sales this year | **2000 cars** |

**ANSWER**

**25% growth, 4% sh**

(50,000 − 40,000) ÷ 40,000 = 25%; 2,000 ÷ 50,000 = 4%

**Why:** Growth compares with last year; share is of this year's market.

## 5 Where cash goes

Round 3

Your leader in a slow market makes spare cash. A newer model has a small share of a fast market.

**Where should the spare cash go, and why?**

**A** The newer model in the fast market

**B** Back into the leader that earned it

**ANSWER**

**✓ The newer model in the fast market**

**Why:** Cash from a mature leader is best spent building the next winner.

## 6 Risk in the range

Round 3

Your range: a cash cow in a shrinking market, two dogs, and no stars or question marks.

**What is the main risk to the firm?**

**A** Negative cash flow today

**B** Nothing to replace the cash cow

**C** Too many models in growing markets

**D** Stars use up too much cash

**ANSWER**

**✓ Nothing to replace the cash cow**

**Why:** With no stars or question marks, nothing will replace the cash cow when it fades.

# Final questions

Each pupil answers 6 final questions on marketing strategy. They come from these 10 questions.

1 Research shows range anxiety is the main barrier to a used-EV launch. Which campaign response is most coherent?
✔ **Show verified battery health and real ranges**

2 A perceptual map places brands by price and perceived reliability. What is its most defensible use?
✔ **Spot gaps, then test demand for them**

3 A premium campaign promises a two-hour turnaround, but work usually takes four hours. Strongest conclusion?
✔ **The promise is not credible yet**

4 A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?
✔ **Defend profitable segments, refresh differentiation or plan replacement on evidence**

5 A small dealer cannot match a platform's scale but has trusted expertise in wheelchair-accessible vehicles. Most defensible position?
✔ **Focus on the specialist niche**

6 A dealer has strong electric-vehicle expertise but weak capital reserves. Which strategic choice best uses the evidence?
✔ **A focused EV service niche at small scale**

7 Four town dealerships describe what makes them different. Which statement is a unique selling point?
✔ **"We are the only county garage approved to service these electric vans."**

8 A dealer group's used-EV line has a small share of a fast-growing market. In the Boston Matrix, what is it?
✔ **Question mark**

9 Sales of a model grow fast and rivals begin to copy it. Which stage of the product life cycle is this?
✔ **Growth**

10 A model's sales have levelled off. Which action is an extension strategy?
✔ **Launching a hybrid version**